SOURCEBOOK

COBS Conduct of Business Sourcebook

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CHAPTER

COBS 9A Suitability (MiFID and insurance-based investment products provisions)

Section : COBS 9A.1 Application and purpose

Application

COBS 9A.1.1 R

This chapter applies to a *firm* which provides:

(1) *investment advice* or *portfolio management* in the course of *MiFID, equivalent third country or optional exemption business*; or

(2) *investment advice* in relation to an *insurance-based investment product*.

COBS 9A.1.1A G

The *rules* in this chapter do not apply to a *firm* in relation to the provision of a *targeted support service* within the scope of the *rules* in *COBS 9B*.

Application to investment advice in relation to insurance-based investment products

COBS 9A.1.5 R

The only *rules* in this chapter which apply to a *firm* when providing *investment advice* in relation to an *insurance-based investment product* are:
(1) those which implemented the *IDD*; and
(2) those which are derived from the *IDD Regulation*.

COBS 9A.1.6 G

For the purposes of *COBS 9A.1.5R*, if a *rule* implemented a requirement of the *IDD* or is derived from the *IDD Regulation*, a note ("**Note:**") to that effect follows the relevant *rule*.

Section : COBS 9A.2 Assessing suitability: the obligations

COBS 9A.2.1 R

When providing *investment advice* or *portfolio management* a *firm* must:

(1) obtain the necessary information regarding the *client's*:

(a) knowledge and experience in the investment field relevant to the specific type of *financial instrument*, *insurance-based investment product* or service;

(b) financial situation including his ability to bear losses; and

(c) investment objectives including his risk tolerance,

so as to comply with (2);

(2) only recommend *investment services*, *financial instruments* and *insurance-based investment products*, as applicable, or take decisions to trade, which are suitable for the *client* and, in particular, in accordance with the *client's* risk tolerance and ability to bear losses.

[**Note:** first paragraph of article 25(2) of *MiFID*, first paragraph of article 30(1) of the *IDD*]

COBS 9A.2.2 G

Firms should undertake a suitability assessment not only when making a *personal recommendation* to buy a *financial instrument* or an *insurance-based investment product* but for all decisions whether to trade, including making any *personal recommendations* about whether or not to buy, hold or sell an investment.

COBS 9A.2.3 G

Where a *firm* providing a *portfolio management* service makes a recommendation or request, or provides advice, to a *client* to the effect that the *client* should give or alter a mandate to the *firm* that defines the limits of the *firm's* discretion, that recommendation, request or advice should be considered a recommendation for the purposes of *COBS 9A.2.1R*. A *firm* should therefore undertake a suitability assessment in relation to any such recommendation, request or advice.

COBS 9A.2.3A R

When proposing an *insurance-based investment product* a *firm* must ensure it is consistent with the *client's* insurance demands and needs.

[**Note:** recital 44 to, and second paragraph article 20(1) of, the *IDD*]

Assessing the extent of the information required: MiFID business

COBS 9A.2.4 R

A *firm* must:

(1) determine the extent of the information to be obtained from a *client* in light of all the features of the service to be provided to that *client*; and

(2) obtain from the *client* such information as is necessary for the *firm* to understand the essential facts about the *client* and to have a reasonable basis for determining, giving due consideration to the nature and extent of the service provided, that the specific transaction to be recommended, or entered into in the course of providing a *portfolio management* service:

(a) meets the investment objectives of the *client* in question, including their risk tolerance;

(b) it is such that the *client* is able financially to bear any related investment risks consistent with their investment objectives; and

(c) is such that the *client* has the necessary experience and knowledge in order to understand the risks involved in the transaction or in the management of their portfolio.

Assessing the extent of the information required: insurance-based investment products

COBS 9A.2.4A R

(1) For the purposes of providing a *personal recommendation* on an *insurance-based investment product* in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R*, a *firm* must determine the extent of the information to be collected from the *client* in light of all the features of the advice to be provided to the *client*.

(2) Without prejudice to the fact that, in accordance with *COBS 9A.2.3AR*, *COBS 9A.3.2R* and *COBS 9A.3.2AR*, any *insurance-based investment product* proposed must be consistent with the *client's* demands and needs, a *firm* must obtain from the *client* such information as is necessary for the *firm* to understand the essential facts about the *client* and to have a reasonable basis for determining that its *personal recommendation* to the *client* satisfies all of the following criteria:

(a) it meets the *client's* investment objectives, including that person's risk tolerance;

(b) it meets the *client's* financial situation, including that person's ability to bear losses;

(c) it is such that the *client* has the necessary knowledge and experience in the investment field relevant to the specific type of *insurance-based investment product* or service.

(3) Where information required for the purposes of *COBS 9A.2.1R* and *COBS 9A.2.16R* has already been obtained pursuant to *COBS 9A.2.3AR*, *COBS 9A.3.2R* and *COBS 9A.3.2AR*, a *firm* must not request information it already has anew from the *client*.

[**Note**: articles 9(1) and (2) and 17(3) of the *IDD Regulation*]

Professional clients: MiFID business

COBS 9A.2.5 R

If the *client* is a *professional client*, the *firm* can assume that:

(1) in relation to the products, transactions and services for which it is so classified, the *client* has the necessary level of experience and knowledge for the purposes of *COBS 9A.2.4R(2)(c)*; and

(2) (in relation to the provision of *investment advice* to a *per se professional client* only) for the purposes of *COBS 9A2.4R(2)(b)*, the *client* is able financially to bear any related investment risks consistent with the investment objectives of that *client*.

Obtaining information about knowledge and experience: MiFID business

COBS 9A.2.6 R

The information regarding a *client's* knowledge and experience in the investment field must include, to the extent appropriate to the nature of the *client*, the nature and extent of the service to be provided and the type of product or transaction envisaged, including their complexity and

the risks involved, information on:

(1) the types of service, transaction and *financial instrument* with which the *client* is familiar;

(2) the nature, volume, and frequency of the *client's* transactions in *financial instruments* and the period over which they have been carried out; and

(3) the level of education, and profession or relevant former profession of the *client*.

Obtaining information about knowledge and experience: insurance-based investment products

COBS 9A.2.6A R

For the purposes of *COBS 9A.2.1R* and *COBS 9A.2.16R* in relation to an *insurance-based investment product*, the necessary information to be obtained by a *firm* with regard to the *client's* knowledge and experience in the relevant investment field must include, where relevant, the following, to the extent appropriate to the nature of the *client*, and the nature and type of *insurance-based investment product* or service offered or demanded, including their complexity and the risks involved:

(1) the types of service, transaction, *insurance-based investment product* or *financial instrument* with which the *client* is familiar;

(2) the nature, number, value and frequency of the *client's* transactions in *insurance-based investment products* or *financial instruments* and the period over which they have been carried out;

(3) the level of education, and profession or relevant former profession of the *client*.

[**Note**: article 17(1) of the *IDD Regulation*]

Obtaining information about a client's financial situation: MiFID business

COBS 9A.2.7 R

The information regarding the financial situation of the *client* must include, where relevant, information on the source and extent of their regular income, their assets, including liquid assets, investments and real property, and their regular financial commitments.

Obtaining information about a client's financial situation: insurance-based investment products

COBS 9A.2.7A R

(1) In relation to an *insurance-based investment product*, the information regarding the *client's* financial situation, including that person's ability to bear losses, must include, where relevant, information on the source and extent of the *client's* regular income, assets, including liquid assets, investments and real property and the regular financial commitments.

(2) The level of information gathered must be appropriate to the specific type of *insurance-based investment product* or service being considered.

[**Note**: article 9(3) of the *IDD Regulation*]

Obtaining information about a client's investment objectives: MiFID business

COBS 9A.2.8 R

The information regarding the investment objectives of the*client* must include, where relevant, information on the length of time for which they wish to hold the investment, their preferences

regarding risk taking, their risk profile, and the purposes of the investment.

Obtaining information about a client's investment objectives: insurance-based investment products

COBS 9A.2.8A R

(1) In relation to an *insurance-based investment product*, the information regarding the *client's* investment objectives, including that person's risk tolerance, must include, where relevant, information on the length of time for which the *client* wishes to hold the investment, that person's preferences regarding risk taking, the risk profile, and the purposes of the investment.

(2) The level of information gathered must be appropriate to the specific type of *insurance-based investment product* or service being considered.

[**Note**: article 9(4) of the *IDD Regulation*]

Reliability of information: MiFID business

COBS 9A.2.9 R

(1) A *firm* must take reasonable steps to ensure that the information collected about its *clients* is reliable.

(2) The steps in (1) must include, but are not limited to:

(a) ensuring *clients* are aware of the importance of providing accurate and up-to-date information;

(b) ensuring all tools, such as risk assessment profiling tools or tools to assess a *client's* knowledge and experience, employed in the suitability assessment process are fit-for-purpose and are appropriately designed for use with the *firm's clients*, with any limitations identified and actively mitigated through the suitability assessment process;

(c) ensuring questions used in the process are likely to be understood by *clients*, capture an accurate reflection of the *client's* objectives and needs, and the information necessary to undertake the suitability assessment; and

(d) taking steps, as appropriate, to ensure the consistency of *client* information, such as by considering whether there are obvious inaccuracies in the information provided by *clients*.

Reliability of information: insurance-based investment products

COBS 9A.2.9A R

(1) In relation to an *insurance-based investment product*, a *firm* must take reasonable steps to ensure that the information collected about the *client* for the purposes of the assessment of suitability is reliable.

(2) The steps in (1) must include, but not be limited to, the following:

(a) ensuring that the *client* is aware of the importance of providing accurate and up-to-date information;

(b) ensuring that all tools, such as risk assessment profiling tools or tools to assess a *client's* knowledge and experience, employed in the suitability assessment process are fit-for-purpose and are appropriately designed for use with its *clients*, with any limitations identified and actively mitigated through the

suitability assessment process;

(c) ensuring that questions used in the process are likely to be understood by the *client* and to capture an accurate reflection of the *client's* objectives and needs and the information necessary to undertake the suitability assessment;

(d) taking steps, as appropriate, to ensure the consistency of *client* information, such as considering whether there are obvious inaccuracies in the information provided by the *client*.

[**Note**: article 10 of the *IDD Regulation*]

Maintaining adequate and up-to-date information: MiFID business

COBS 9A.2.10 R

If a *firm* has an on-going relationship with a *client*, such as by providing on-going advice or *portfolio management*, it must have, and be able to demonstrate, appropriate policies and procedures to maintain adequate and up-to-date information about that *client*to the extent necessary to fulfil the requirements in *COBS 9A.2.4R*.

Discouraging the provision of information: MiFID business

COBS 9A.2.11 R

A *firm*must not encourage *client*not to provide information required for the purposes of *COBS 9A.2.1R*.

Discouraging the provision of information: insurance-based investment products

COBS 9A.2.11A R

In relation to *insurance-based investment products*, a *firm* must not discourage a *client* from providing information required for the purposes of *COBS 9A.2.1R* and *COBS 9A.2.16R*.
[**Note**: article 17(2) of the *IDD Regulation*]

Reliance on information: MiFID business

COBS 9A.2.12 R

A *firm*is entitled to rely on the information provided by its *clients* unless it is aware or ought to be aware that the information is manifestly out of date, inaccurate or incomplete.

Reliance on information: insurance-based investment products

COBS 9A.2.12A R

For the purposes of assessing suitability in relation to an *insurance-based investment product*, a *firm* may rely on the information provided by its *clients* unless it is aware or ought to be aware that the information is manifestly out of date, inaccurate or incomplete.
[**Note**: article 17(4) of the *IDD Regulation*]

Insufficient information: MiFID business

COBS 9A.2.13 R

If a *firm*does not obtain the information required by *COBS 9A.2.1R*, it must not recommend *investment services* or *financial instruments* to the *client*.

Insufficient information: insurance-based investment products

COBS 9A.2.13A R

Where a *firm* does not obtain the information required under *COBS 9A.2.1R* and *COBS 9A.2.16R*, the *firm* must not provide a *personal recommendation* on *insurance-based*

investment products to the *client*.

[**Note**: article 9(5) of the *IDD Regulation*]

Insufficient information: MiFID business and insurance-based investment products

COBS 9A.2.14 G

Although a *firm* may not be permitted to make a *personal recommendation* or take a decision to trade because it does not have the necessary information, its *client* may still ask the *firm* to provide another service such as, for example, to arrange a deal or to deal as agent for the *client*. If this happens, the *firm* should ensure that it receives written confirmation of the instructions. The *firm* should also bear in mind the *client's best interests rule* and any obligation it may have under the *rules* relating to appropriateness when providing the different service (see COBS 10A (Appropriateness (for non-advised services in relation to MiFID and insurance-based investment products provisions))).

Identifying the subject of a suitability assessment: MiFID business

COBS 9A.2.15 R

(1) If a *client* is a legal person or a group of two or more natural persons, or if one or more natural persons are represented by another natural person, the *firm* must establish, record and implement a policy which sets out:

(a) who should be subject to the suitability assessment; and

(b) how the suitability assessment will be done in practice, including from whom information about knowledge and experience, financial situation and investment objectives should be collected.

(2) For the purpose of (1):

(a) if a natural person is represented by another natural person, the financial situation and investment objectives to be considered must be those of the underlying *client*rather than of the representative. However, the knowledge and experience to be considered must be that of the representative or the person authorised to carry out transactions on behalf of the underlying *client*; and

(b) if a legal person is an *elective professional client*, the financial situation and investment objectives to be considered must be those of the legal person. The knowledge and experience must be that of the person authorised to carry out transactions on behalf of the underlying *client*.

Identifying the subject of a suitability assessment: insurance-based investment products

COBS 9A.2.15A R

(1) With regard to group insurance a *firm* must establish and implement a policy as to who will be subject to the suitability assessment where an *insurance-based investment product* is concluded on behalf of a group of members and each individual member cannot take an individual decision to join.

(2) The policy established under (1) must also contain rules on how that assessment will be done in practice, including from whom information about knowledge and experience, financial situation and investment objectives will be collected.

(3) A *firm* must record the policy established under (1).

[**Note**: article 13 of the *IDD Regulation*]

Bundled packages: MiFID business and insurance-based investment products

COBS 9A.2.16 R

Where a *firm* provides *investment advice* recommending a package of services or products bundled pursuant to *COBS 6.1ZA.16R* (for MiFID business) or *COBS 6.1ZA.16AR* to *COBS 6.1ZA.16ER* (for *insurance-based investment products*), the *firm* must ensure that the overall bundled package is suitable for the *client*.
[**Note:** second paragraph of article 25(2) of *MiFID* and second paragraph of article 30(1) of the *IDD*]

COBS 9A.2.17 G

When considering the suitability of a particular *financial instrument* or *insurance-based investment product* which is linked directly or indirectly to any form of loan, mortgage or *home reversion plan*, a *firm* should take account of the suitability of the overall transaction. The *firm* should have regard to any applicable suitability *rules* in *MCOB*.

Switching: MiFID business

COBS 9A.2.18 R

When providing *investment advice* or *portfolio management* to *retail clients* that involves switching investments, either by selling an instrument and buying another or by exercising a right to make a change in regard to an existing instrument, a *firm* must collect the necessary information on the *client's* existing investments and the recommended new investments and undertake an analysis of the costs and benefits of the switch, such that they are reasonably able to demonstrate that the benefits of switching are greater than the costs.

Switching: insurance-based investment products

COBS 9A.2.18A R

When providing a *personal recommendation* in relation to an *insurance-based investment product* that involves switching between underlying investment assets a *firm* must also collect the necessary information on the *client's* existing underlying investment assets and the recommended new investment assets and must undertake an analysis of the expected costs and benefits of the switch, such that it is reasonably able to demonstrate that the benefits of switching are expected to be greater than the costs.
[**Note**: article 9(7) of the *IDD Regulation*]

Adequate policies and procedures: MiFID business

COBS 9A.2.19 R

A *firm* must have in place, and be able to demonstrate, adequate policies and procedures to ensure that:
(1) it understands the nature and features, including the costs and risks, of the *investment services* and *financial instruments* selected for its *clients*; and
(2) while taking into account cost and complexity, it assesses whether equivalent *investment services* or *financial instruments* could meet its *client's* profile.

Unsuitability: MiFID business

COBS 9A.2.20 R

When providing *investment advice* or *portfolio management*, a *firm* must not recommend or decide to trade where none of the services or instruments are suitable for the *client*.

Unsuitability: insurance-based investment products

COBS 9A.2.20A R When providing a *personal recommendation* on an *insurance-based investment product* in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R*, a *firm* must not make a recommendation where none of the *insurance-based investment products* are suitable for the *client*.
[**Note**: article 9(6) of the *IDD Regulation*]

Guidance on assessing suitability: MiFID business and insurance-based investment products

COBS 9A.2.21 G

(1)
A transaction may be unsuitable for a *client* due to the risks of the associated *financial instruments*, the type of transaction, the characteristics of the order or the frequency of the trading.

(1A)
An *insurance-based investment product* may be unsuitable for a *client* due to the risks of the underlying investment assets, the type or characteristics of the product or the frequency of switching of underlying investment assets.

(2)
A series of transactions, each of which are suitable when viewed in isolation may be unsuitable if the recommendation or the decisions to trade are made with a frequency that is not in the best interests of the *client*.

(3)
In the case of *portfolio management*, a transaction might be unsuitable if it would result in an unsuitable portfolio.

[**Note:** recital 9 to the *IDD Regulation*]

Investments subject to restrictions on retail distribution: MiFID business and insurance-based investment products

COBS 9A.2.22 G

(1) *Firms* should note that restrictions and specific requirements apply to the retail distribution of certain *investments*:

(a) *non-mass market investments* are subject to a restriction on *financial promotions* (see *section 238* of the *Act* and *COBS 4.12B*);

(b) *restricted mass market investments* are subject to a restriction on *direct offer financial promotions* (see *COBS 4.12A*);

(c) *mutual society shares* are subject to specific requirements in relation to *dealing* and arranging activities (see *COBS 22.2*);

(d) *contingent convertible instruments* and *CoCo funds* are subject to a restriction on sales and on promotions (see *COBS 22.3*).

(e) [deleted]

(2) A *firm* should be satisfied that an exemption is available before recommending an *investment* subject to a restriction on distribution to a *retail client*, noting in particular that a *personal recommendation* to invest will generally incorporate a *financial promotion*.

(3) In addition to assessing whether the promotion is permitted, a *firm* giving advice on an *investment* subject to a restriction on distribution should comply with their obligations

in *COBS 9A* and ensure any *personal recommendation* is suitable for its *client*.

(4) In considering its obligations under *COBS 9A*, a *firm* purchasing an *investment* subject to a restriction on distribution on behalf of a *retail client* as part of a discretionary management agreement should exercise particular care to ensure the transaction is suitable and in the client's best interests, having regard to the *FCA's* view that such *investments* pose particular risks of inappropriate distribution.

(5) A restriction on promotion does not affect a transaction where there has been no prior communication with the *client* in connection with the investment by the *firm* or a person connected to the *firm*. Nonetheless, if promotion of an *investment* to a *retail client* would not have been permitted, then the discretionary manager's decision to purchase it on behalf of the *retail client* should be supported by detailed and robust justification of his assessment of suitability.

Automated or semi-automated systems: MiFID business

COBS 9A.2.23 R

A *firm* that provides *investment advice* or *portfolio management* services (in whole or in part) through an automated or semi-automated system remains responsible for the suitability assessment required by this section. That obligation is not affected by the use of an electronic system in making the *personal recommendation* or decision to trade.

Automated or semi-automated systems: insurance-based investment products

COBS 9A.2.24 G

For the avoidance of doubt, a *firm's* responsibility to perform the suitability assessment in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R* is not reduced where a *personal recommendation* on *insurance-based investment products* is provided in whole or in part through an automated or semi-automated system.
[**Note**: article 12 of the *IDD Regulation*]

Section : COBS 9A.3 Information to be provided to the client

Explaining the reasons for assessing suitability: MiFID business

COBS 9A.3.1 R

(1) A *firm*must not create any ambiguity or confusion about its responsibilities in the process when assessing the suitability of *investment services* or *financial instruments* in accordance with *COBS 9A.2.1R*.

(2) When undertaking the suitability assessment, a *firm* must inform the *client*, clearly and simply, that the reason for assessing suitability is to enable the *firm*to act in the *client's* best interest.

Explaining the reasons for assessing suitability: insurance-based investment products

COBS 9A.3.1A R

(1) A *firm* must not create any ambiguity or confusion about its responsibilities in the process of assessing the suitability of *insurance-based investment products* in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R*.

(2) A *firm* must inform the *client*, clearly and simply, that the reason for assessing suitability is to enable it to act in the *client's* best interest.

[**Note**: article 11 of the *IDD Regulation*]

Suitability reports: MiFID business and insurance-based investment products

COBS 9A.3.2 R

(1) [deleted]

(2) When providing *investment advice* to a *retail client*, a *firm* must, before the transaction is concluded, provide the *client* with a *suitability report* in a *durable medium*:

(a) specifying the advice given and how that advice meets the preferences, objectives and other characteristics of the *client*;

(b) (for an *insurance-based investment product*):

(i) specifying, on the basis of the information obtained from the *client*, the *client's* demands and needs; and

(ii) including a personalised recommendation explaining why a particular *insurance-based investment product* would best meet the *client's* demands and needs.

The details in (i) and (ii) must be modulated according to the complexity of the *contract of insurance* proposed and the type of *client*.

(3) Where the transaction is concluded using a means of distance communication which prevents the prior delivery of the *suitability report*, the *firm* may provide the *suitability report* in a *durable medium* immediately after the *client* is bound by the transaction , provided both the following conditions are met:

(a) the *client* has consented to receiving the *suitability report* without undue delay after the conclusion of the transaction; and

(b) the *firm* has given the *client* the option of delaying the transaction in order to

receive the *suitability report* in advance.

(4) Where a *firm* provides a *portfolio management* service or has informed the *client* that it will carry out periodic assessment of suitability, the periodic report, provided under *COBS 16A.2.1R*, must contain an updated statement of how the *client's* investments meet the preferences, objectives and other characteristics of the *client*.

[**Note:** second, third and fourth paragraphs of article 25(6) of, and recital 82 to, *MiFID*; article 20(1), article 20(2), second paragraph of article 22(1) and second, third and fourth paragraphs of article 30(5) of the *IDD*]

COBS 9A.3.2A R

Where a *firm* makes a *personal recommendation* to a *professional client* on an *insurance-based investment product* it must, prior to the conclusion of the contract, provide to the client the information in *COBS 9A.3.2R(2)(b)* in accordance with *COBS 7.4*.
[**Note:** article 20(1) and 20(2) of the *IDD*]

Providing a suitability report: MiFID business

COBS 9A.3.3 R

(1) When providing *investment advice* to a *retail client*, a *firm* must provide the *client* with a report that includes an outline of:

(a) the advice given and how the recommendation is suitable for them; and

(b) how the recommendation meets their objectives and personal circumstances with reference to:

1. (i) the investment term required;

(ii) their knowledge and experience; and

(iii) their attitude to risk and capacity for loss.

(2) A *firm* must include in the *suitability report* information on whether the recommended services or instruments are likely to require the *retail client* to seek a periodic review of their arrangements, and draw the *client's* attention to this information.

(3) Paragraph (4) applies to a *firm* that provides a service involving periodic assessments of suitability.

(4) Following the first *suitability report* provided to the *client* at the commencement of the service, any subsequent reports:

(a) need only cover changes in:

1. (i) the relevant services or instruments;

(ii) the circumstances of the *client*; and

(b) need not repeat all of the information in the first report.

Providing a suitability report: insurance-based investment products

COBS 9A.3.3A R

(1) When providing a *personal recommendation* on the suitability of an *insurance-based investment product* in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R*, a *firm* must provide a statement to the *client* (suitability statement) that includes the following:

(a) an outline of the *personal recommendation* given;

(b) information on how the recommendation provided is suitable for the *client*, in particular how it meets:

(i) the *client's* investment objectives, including that person's risk tolerance;

(ii) the *client's* financial situation, including that person's ability to bear losses;

(iii) the *client's* knowledge and experience.

(2) A *firm* must draw the *client's* attention to, and must include in the suitability statement, information on whether any recommended *insurance-based investment product* is likely to require the *client* to seek a periodic review of their arrangements.

(3) Where a *firm* has informed the *client* that it will carry out a periodic assessment of suitability, the subsequent statements after the initial service is established may be limited to changes in the services or underlying investment assets, and/or the circumstances of the *client* without repeating all the details contained in the first statement.

[**Note**: article 14(1) to (3) of the *IDD Regulation*]

Guidance on suitability reports

COBS 9A.3.4 G

When providing a *suitability report*, a *firm* should consider the requirements in *COBS 4.2.1R* to ensure that the contents of the suitability report are fair, clear and not misleading.

COBS 9A.3.5 G

Situations that are likely to require a *retail client* to seek a periodic review of their arrangements include where a *client* is likely to need to seek advice to bring a portfolio of investments back in line with the original recommended allocation where there is a probability that the portfolio could deviate from the target asset allocation.

COBS 9A.3.5A G

Certain provisions in this section require *firms* to provide *clients* with information 'in good time'. *Guidance*on the provision of information 'in good time' can be found in *COBS 1.4.2G*.

Periodic assessments: MiFID business and insurance-based investment products

COBS 9A.3.6 R

A *firm* must:

(1) in relation to an *insurance-based investment product*, at least in good time prior to the conclusion of the contract;

(2) otherwise, in good time before it provides its *investment advice*;

inform the *client* whether it will provide the *client* with a periodic assessment of the suitability of the financial instruments or the *insurance-based investment products* recommended to the *client*.

[**Note:** article 24(4)(a)(iii) of *MiFID*, article 29(1)(a) of the *IDD*]

COBS 9A.3.7 G

COBS 9A.3.6R supplements *COBS 2.2A.2R* (information disclosure before providing services (MiFID provisions and insurance distribution)).

Periodic assessments: MiFID business

COBS 9A.3.8 R

(1) This *rule* applies to a *firm* that provides a *client* with a periodic assessment of

suitability pursuant to *COBS 9A.3.3R*.

(2) The *firm* must disclose to the *client*:

(a) the frequency and extent of the periodic suitability assessment and where relevant, the conditions that trigger that assessment;

(b) the extent to which the information previously collected will be subject to reassessment; and

(c) the way in which an updated recommendation will be communicated to the *client*.

COBS 9A.3.9 R

(1) A *firm* providing a periodic suitability assessment must review the suitability of the recommendations given at least annually.

(2) The frequency of the periodic suitability assessment must be increased where appropriate by reference to the risk profile of the *client*and the type of *financial instruments* recommended.

Periodic assessments: insurance-based investment products

COBS 9A.3.10 R

(1) A *firm* providing a periodic assessment of suitability must review, in accordance with the best interests of its *client*, the suitability of the recommended *insurance-based investment products* at least annually

(2) The frequency of a periodic assessment must be increased depending on the characteristics of the *client*, such as the risk tolerance, and the nature of the recommended *insurance-based investment product*.

[**Note**: article 14(4) of the *IDD Regulation*]

Section : COBS 9A.4 Record keeping and retention periods for suitability records

Record keeping: MiFID business and insurance-based investment products

COBS 9A.4.1 G

A *firm* to which *SYSC 9* applies is required to keep orderly records of its business and internal organisation (see *SYSC 9* (General rules on record-keeping)). The records may be expected to reflect the different effect of the requirements in this chapter depending on whether the *client* is a *retail client* or a *professional client*; for example, in respect of information about the *client* which the *firm* must obtain and whether the *firm* is required to provide a *suitability report*.

COBS 9A.4.2 G

A *firm* should refer to *SYSC 3.2* and *SYSC 3.3* (for insurers and managing agents) and *SYSC 9* (for other *firms*) for its obligations in relation to record keeping.
[**Note:** article 16(7) of *MiFID*]

Record keeping: MiFID business

COBS 9A.4.2A R

In complying with the requirements in *SYSC 9*, a *firm* to which those *rules* apply must keep a record of:

(1) its compliance with the *rules*in *COBS 9A.2* and *COBS 9A.3* applicable to *MiFID, equivalent third country or optional exemption business* in respect of each assessment of suitability it undertakes;

(2) its compliance with *COBS 9A.3.6R* in informing each *client* to which it provides *investment advice* whether it will provide a periodic assessment of suitability; and

(3) in respect of *investment advice* provided to a *retail client*:

1. (a) the time and date on which the *investment advice* was provided;

(b) the *financial instrument* that was recommended; and

(c) the *suitability report* provided to the *client*.

Retention of records: insurance-based investment products

COBS 9A.4.3 R

(1) Without prejudice to the application of the *General data protection regulation*, a *firm* must maintain records of the assessment of suitability in relation to *insurance-based investment products* undertaken in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R*.

(2) The records maintained under (1) must include the information obtained from the *client* and any documents agreed with the *client*, including documents that set out the rights of the parties and the other terms on which the *firm* will provide services to the *client*.

(3) The records must be retained for at least the duration of the relationship between the *firm* and the *client*.

[**Note**: article 19(1) of the *IDD Regulation*]

Record-keeping obligations for the assessment of suitability: insurance-based investment products

COBS 9A.4.4 R

In the case of an assessment of suitability undertaken in accordance with *COBS 9A.2.1R* and *COBS 9A.2.16R* in relation to *insurance-based investment products*, the record maintained under *COBS 9A.4.3R* must include the following:

(1) the result of the suitability assessment;

(2) the recommendation made to the *client* and the statement provided in accordance with *COBS 9A.3.3AR*;

(3) any changes made by the *firm* with regard to the suitability assessment, in particular any change to the *client's* risk tolerance;

(4) any changes to the underlying investment assets.

[**Note**: article 19(2) of the *IDD Regulation*]